



LIFE ASSURANCE SECTOR REPORT

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- iv. Please Note: All Monetary Figures are in ZW\$ except where stated.
- v. All amounts in this report are in nominal terms and ZW\$000, except where specifically stated to be in real terms.

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Abbreviations

GPW	Gross Premium Written
IPEC	Insurance and Pensions Commission
MCR	Minimum Capital Requirement
PA Insurance Act (Chapter 24:07)	Prescribed Assets as defined by the
S.I	Statutory Instrument
TCF	Treating Customers Fairly
ZICARP Programme	Zimbabwe Integrated Capital and Risk

A hand is shown holding a globe. The globe is semi-transparent and contains several white icons: a dollar sign on a bill, a car, a house, and a group of three people. The background is a solid dark blue.

SECTION A

EXECUTIVE SUMMARY

1. Executive Summary

- 1.1 As at 30 September 2021, the life assurance sector was made up of 12 direct life assurance companies, 4 composite reinsurance companies and 1 323 agents.
- 1.2 For the nine months ended 30 September 2021, the life assurance industry reported Gross Premium Written (GPW) of ZW\$11.72 billion, representing a nominal increase of 485% from ZW\$2.004 billion reported in the comparative period in 2020.
- 1.3 The growth in GPW was mainly attributed to significant premium increases, particularly from funeral assurance and group life assurance business classes in response to general rise in inflation.
- 1.4 Growth in GPW was above the year-on-year inflation, which stood at 51.5% as at 30 September 2021. On an inflation-adjusted basis, the GPW for direct life insurers experienced a growth of 286% from ZW\$2.004 billion reported for the nine months ended 30 September 2020 to ZW\$ 7.74 billion reported for the year ended 30 September 2021.
- 1.5 For the nine months ended 30 September 2021, the life assurance industry reported foreign currency Gross Premium Written (GPW) of USD\$3.9 million.
- 1.6 GPW for life re-insurers grew by 402% from ZW\$78.84 million reported for the nine months ended 30 September 2020 to ZW\$396.06 million for nine months ended 30 September 2021.
- 1.7 In real terms the growth in GPW for life re-insurers was 232% from ZW\$78.84 million reported for the nine months ended 30 September 2020 to ZW\$261.42 million reported for the nine months ended 30 September 2021.
- 1.8 The life reinsurance sector reported foreign currency Gross Premium Written of USD\$430 803.91. One out of four life reinsurance companies submitted USD\$ returns for the period ended 30 September 2021.
- 1.9 As at 30 September 2021, all eleven (11) life assurance companies that submitted their returns, and three (3) out of four (4) life reinsurance companies reported capital positions that were compliant with the

prescribed minimum capital requirements of ZW\$75 million and ZW\$112.5 million, respectively during the reporting period.

1.10 Adequate capitalisation of the sector is important for a strong insurance sector, which enhances the protection of policyholders' interests and socio-economic development.

1.11 The capital positions were, however, based on unaudited returns, with no adjustments made for inadmissible assets as required by Statutory Instrument 95 of 2017.

1.12 To increase the resilience of the sector to economic shocks which may increase claims or supply chain disruptions, it is a requirement that every player holds adequate capital.

1.13 As at 30 September 2021, direct life assurers reported a 27% nominal growth in total assets from ZW\$55.12 billion as at 30 June 2021 to ZW\$70.01 billion as at 30 September 2021.

1.14 The growth was mainly attributable to the strong performance of equity investments on the Zimbabwe Stock Exchange.

1.15 The investment asset base for composite re-assurers grew by 33% from ZW\$67.36 billion as at 30 June 2021 to ZW\$89.69 billion as at 30 September 2021.

1.16 As at 30 September 2021, the average prescribed ratio for life assurers and life re-assurers stood at 2.84% and 3.90% respectively.

1.17 All direct life assurance companies and three (3) life reinsurance companies were not compliant with the minimum prescribed asset ratio of 15%. The non-compliant entities are urged to comply with prescribed asset investment requirements or submit compliance plans in line with Statutory Instrument 206 of 2019.

1.18 The Commission is closely monitoring the implementation of the compliance plans to ensure full compliance with the prescribed asset ratio requirement in terms of Statutory Instrument 206 of 2019.

1.19 For the nine months ended 30 September 2021, the life assurance sector reported a nominal profit after tax of ZW\$12.81 billion, down from

ZW\$43.06 billion reported in the comparative period of 2020. This translates to a decrease of 72%. This decrease is largely due to the removal of funds business which used to be included in the life business analysis.

1.20 The after-tax profit for life re-assurers grew by 193% from ZW\$128.29 million reported for the nine months ended 30 September 2020 to ZW\$376.41 million for the nine months ended 30 September 2021.

1.21 In real terms, profit after tax for the life assurance and life reinsurance sectors decreased by 81% while profit after tax for the reinsurance sector increased by 94%.

1.22 The decrease in profit after tax for the life assurance and life reinsurance sector is mainly attributed the exclusion of funds business for this analysis.

1.23 Table 1 below shows a summary of key financial indicators.

Table 1: Summary of Key Financial Indicators

Financial Aspect (ZW\$000)	Life Assurance				Life Reinsurance			
	Sep-20	Sep-21	Sep- 21 inflation-adjusted	Growth Inflation-adjusted	Sep-20	Sep-21	Sep-21 inflation-adjusted	Growth Inflation-adjusted
GWP	2,004,386	11,718,900	7,735,248	286%	78,840	396,052	261,421	232%
NWP	1,951,504	11,435,268	7,548,032	287%	61,841	314,616	207,667	236%
Claims	1,313,958	9,948,914	6,566,940	400%	36,774	225,994	149,171	306%
Management Operating Expenses	825,627	4,598,695	3,035,442	267%	9,894	30,480	20,119	103%
Commissions	76,815	711,892	469,896	512%	13,070	59,431	39,229	200%
Technical Costs	2,216,400	15,259,500	10,072,277	354%	59,738	315,905	208,518	249%
Profit after Tax	45,065,145	12,809,772	8,455,295	-81%	128,290	376,414	248,458	94%
Financial Aspect	Jun-21	Sep-21	Growth (%)		Jun-21	Sep-21	Growth (%)	
Total Assets	55,117,507	70,088,240	27%		2,554,487	3,132,607	23%	
Total Liabilities	26,907,129	32,659,341	21%		1,230,464	1,342,385	9%	
Capital	28,210,377	37,428,899	33%		1,324,023	1,790,223	35%	
Capital to Liability Ratio	105%	115%	10%		108%	133%	25%	
Prescribed Assets	162,409	1,815,111	1018%		44,806	45,503	2%	
PA Ratio (%)	0.33%	2.84%	3%		2.00%	3.90%	1.90%	



SECTION B

ABOUT THE COMMISSION

2 The Insurance and Pensions Commission at a Glance The Insurance and Pensions Commission (IPEC) is a statutory body mandated to regulate, supervise and develop the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe.

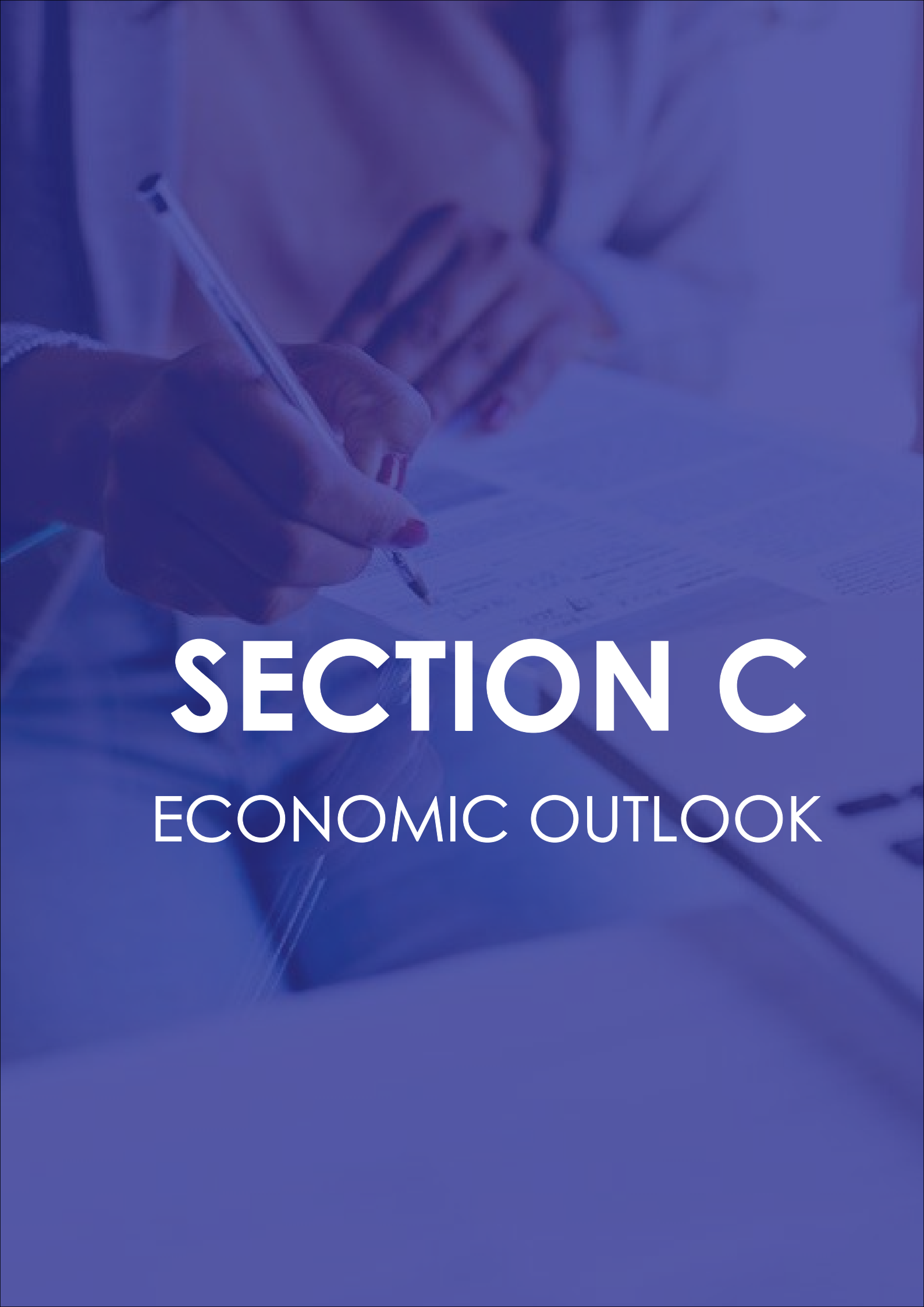
2.2 This report outlines industry developments and IPEC's various activities in the Insurance industry, consistent with its statutory mandate for the 9 months ended 30 September 2021.

3 Terms of Reference

3.1 The activities of the Commission are guided by the following Acts and their Regulations:

- Insurance and Pensions Commission Act [Chapter 24:21]
- Pensions and Provident Funds Act [Chapter 24:09]
- Insurance Act [Chapter 24:07]
- Money Laundering and Proceeds of Crime Act [Chapter 09:24]
- Finance Act [Chapter 23:04]
- Public Entities and Corporate Governance Act [Chapter 10:31]
- Public Finance Management Act [Chapter 22:19]; and
- Public Procurement and Disposal of Public Assets Act [Chapter 22: 23]



A person's hand is shown holding a pen and writing on a document. The image is overlaid with a blue gradient. The text "SECTION C" and "ECONOMIC OUTLOOK" is written in white, bold, sans-serif font.

SECTION C

ECONOMIC OUTLOOK

4 ECONOMIC DEVELOPMENTS

4.1. COVID-19 Updates

The global cumulative number of Covid-19 cases stood at 233.2 million as at 30 September 2021, up from a cumulative total of 180 million cases recorded as at 30 June 2021. The death toll rose close to 5 million in the third quarter of 2021, up from 4 million recorded as at 30 June 2021 (WHO, 2021).

By the end of the third quarter, about 2.5% of the Sub-Saharan population was fully vaccinated. Regrettably, this is well below the level needed to reach herd immunity and far short of vaccination rates seen in advanced economies (60%) and other emerging markets and developing economies (35%) (IMF 2021). The IMF has a proposed plan to vaccinate at least 40% of the population in every country by the end of 2021 and 70% by mid-2022, alongside ensuring adequate diagnostics and therapeutics (*Agarwal and Gopinath 2021*). The plan is jointly endorsed by the World Health Organization, the World Bank, and the World Trade Organization and is at an estimated cost of about \$50 billion. There is an urgent call for countries with high vaccination levels to donate vaccines. To reach the 40% goal by 31 December 2021, the G20/G7 countries are expected, among other measures to: (i) fulfil existing donations to COVAX of about 550 million doses, (ii) swap vaccine delivery schedules with COVAX to bring forward 400 million doses by year end, (iii) ensure AVAT can deliver over 70 million Johnson and Johnson doses also by year end and (iv) eliminate trade and regulatory barriers to trade of vaccine raw materials and finished doses as well as other Covid-19 health equipment.

Zimbabwe had a cumulative total of 130,820 Covid-19 cases as at 30 September 2021, up from 49,864 cases recorded as at 30 June 2021. A total of 2, 271, 135 people, which translate to 22.7% of the targeted population had been fully vaccinated as at 30 September 2021 and this is significantly higher than 777,161 people fully vaccinated as at 30 June 2021. The national recovery rate at the end of the third quarter was 94%, which is 16 percentage points higher than the end of the second quarter recovery rate of 78%.

4.2. Covid-19 Impact on Businesses at Global and National Level

Global tourism remains subdued, with travel restrictions depressing cross-border tourist activity. The tourism-dependent countries in the Sub-Saharan region such as Cabo Verde, Mauritius, and Seychelles remain vulnerable to the international travel and tourism shocks emanating from the pandemic. In the case of Zimbabwe, however, the level of regional and domestic tourism activity is likely to improve following the relaxation of Covid-19 restrictions owing to improved vaccination levels during the quarter under review. As a result, the Victoria Falls and Kazungula border posts were re-opened, and the ban on sit-in patrons for restaurants was lifted, allowing them to re-open for fully vaccinated sit-in patrons.

Activities in sectors such as mining and agriculture were not severely affected by Covid-19 lockdown measures, as they were categorised as essential services.

The construction sector also remained strong under Covid-19, on the backdrop of Government projects such as, institutional accommodation for the public sector, roads rehabilitation, and dam construction.

Capacity utilisation in the manufacturing sector increased from 54% reported in the second quarter of 2021 to 58%, following the opening up of the economy owing to improved Covid-19 vaccination uptake. The increased capacity was also supported by improved access to foreign currency and output in the agricultural sector.

Covid-19 also impacted the insurance value chain in Zimbabwe as regulated entities embraced remote-working. The transition to remote-working led to the adoption of digital technologies, which increased data security and privacy risks in the insurance sector.

4.3. Global and Regional Growth Prospects

The global economic recovery has weakened, hobbled by the resurging pandemic. IMF projected the global economy to grow by 5.9% in 2021 and 4.9% in 2022, while the World Bank's global growth forecast is 2.4% in 2021 and 4.9% in 2022. The downward revision for 2021 reflects a downgrade for advanced economies and low-income countries.

The advanced economies' growth rate is forecast to reach 5.2% in 2021 and 4.5% in 2022. The growth prospects for 2021 was revised downwards by 0.4 percentage points compared to the July 2021 forecast, at the backdrop of inventory drawdowns caused by supply chain disruptions and shortages of key manufacturing inputs.

IMF's 2021 growth forecast for the Emerging Markets and Developing Economies (EMDEs) was reviewed upwards by 0.1 percentage points from the July 2021 projections to 6.4%, attributed to improved prices for commodity exports. Table 1 below, summarises the world economic outlook projections.



Table 2: World Economic Outlook Projections

	2020	2021*	2022*
World Output	-3.3	5.9	4.9
Advanced Economies	-4.7	5.2	4.5
USA	-3.5	6.0	5.2
Euro Area	-6.6	5.0	4.3
Emerging Markets and Developing Economies	-2.2	6.4	5.1
China	2.3	8.1	5.7
Sub-Saharan Africa	-1.9	3.7	3.8
Nigeria	-1.8	2.6	2.7
South Africa	- 7.0	5.0	2.2
Zimbabwe	-4.1	5.1	3.1

Source: October 2021 World Economic Outlook Update, IMF. * Projections

Sub-Saharan Africa is set to grow by 3.7% in 2021 and 3.8% in 2022, supported by increased agricultural production, improvement in global trade, and commodity prices.

4.4. Domestic Economic Performance

The Government's growth forecast of 7.8% in 2021 and 5.4% in 2022, will be supported by:-

- i. Continued stable macroeconomic environment through prudent fiscal and monetary policies;
- ii. A bumper agricultural output on the back of relatively good 2020/2021 and 2021/2022 seasonal rains;
- iii. A global commodity price boom; and
- iv. A successful Covid-19 vaccination programme among others.

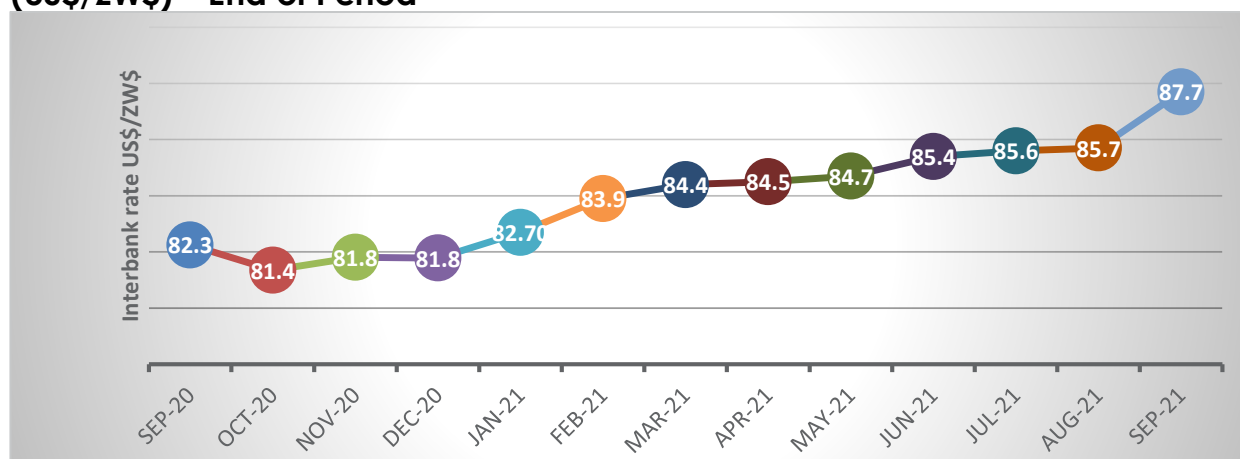
The country's efforts to stabilise the local currency, lower inflation, and contain budget deficits will also enhance domestic growth.

The IMF projects a growth rate of 5.1% in 2021 and 3.1% in 2022 for Zimbabwe, largely supported by increased agricultural output, energy production and manufacturing, and construction activities. On the other hand, the World Bank forecasts a conservative growth of 2.9% in 2021 and a more significant growth of 5.1% in 2022.

4.5 Exchange Rate Movements

The Zimbabwe dollar (ZW\$) remained relatively stable against the US dollar during the third quarter, sliding by 2.7%, from an average of US\$1:ZW\$85.4 recorded at the end of the second quarter to US\$1:ZW\$87.7 recorded at the end of the third quarter of 2021. However, the parallel market exchange rate rose from about US\$1: ZW\$140 as at 30 June 2021 to about US\$1: ZW\$160 as at 30 September 2021. The foreign currency auction system is contributing immensely to bringing transparency in the trading of foreign currency, thus fostering stability in the exchange rate and engendering price stability. The interbank exchange rate movements during the period of September 2020 to September 2021 are illustrated in Figure 1.

Figure 1: Interbank Exchange Rate September 2020 to September 2021 (US\$/ZW\$) – End of Period



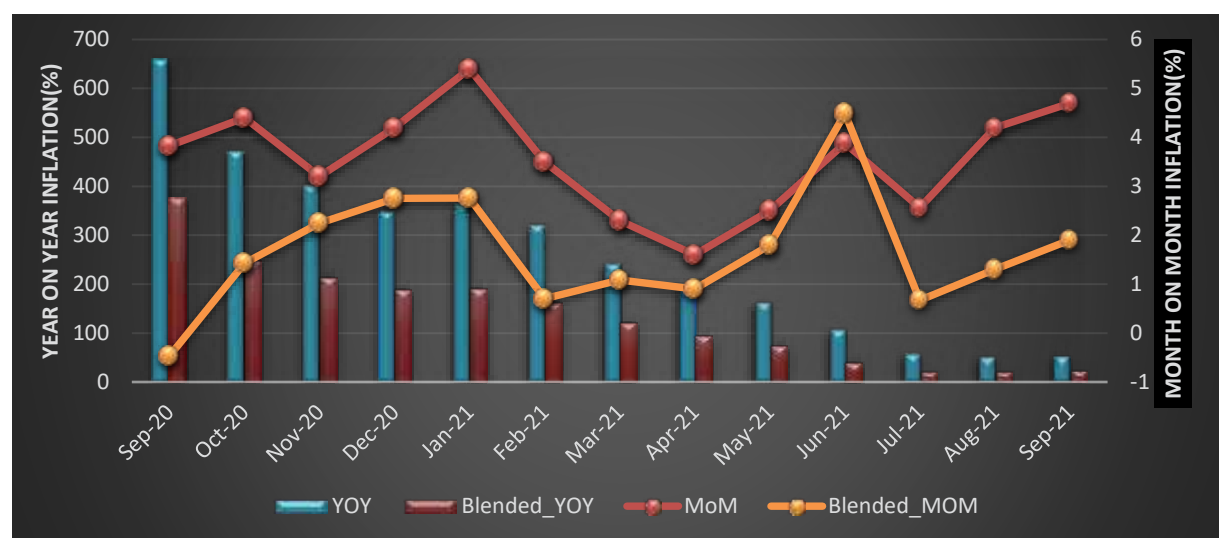
Source: Reserve Bank of Zimbabwe

4.6. Inflation Developments

According to the Zimbabwe National Statistics Agency, the annual headline inflation decelerated from 106.64% registered in June 2021 to 51.50% recorded at the end of the third quarter of 2021. A combination of tight monetary policy, non-monetisation of fiscal deficits, and fiscal policy consolidation measures implemented by the Government to date, has contributed to a sustained decline in annual inflation. Going forward, the Government seeks to ensure inflation is maintained within the SADC macroeconomic convergence benchmark of 3-7%.

The month-on-month inflation rose to 4.7% in the third quarter, from 3.88% recorded at the end of the second quarter of 2021 (ZIMSTAT, 2021). The inflationary pressure emanated from an increase in international food and oil prices and indexation of prices of goods and services to parallel market exchange rates. Figure 2 illustrates the inflation profile between September 2020 and September 2021.

Figure 2: Inflation profile (%), September 2020 – September 2021



Source: Zimbabwe National Statistics Agency

The slowing down of annual inflation enhances investor confidence in the economy. The insurance and pensions industry continues to be heavily invested in investment property and quoted equities, as a way of hedging against inflation and preserving value. Therefore, the downward trend is a welcome development.

4.7. Zimbabwe Stock Exchange Performance Highlights

The Old Mutual Zimbabwe's Stock Exchange Top 10 Exchange Traded Funds (ETF) is a development that provides the platform for the insurance and pensions industry to diversify its investment portfolio. According to the rebalancing that was done by the Zimbabwe Stock Exchange on 30 September 2021, Delta Corporation Limited (21.15%) has the highest ETF weights in terms of shares that are held by the Old Mutual ZSE Top 10 ETF

followed by Econet Wireless Zimbabwe Limited (19.81%), and Cassava SmartTech Zimbabwe Limited (11.98%).

Bullish sentiments characterised the Zimbabwe Stock Exchange (ZSE), during the third quarter of 2021. Resultantly, major indices increased except the mining index. The All-Share, Top 10, and Medium Cap gained 38.50%, 53.98%, and 19.12% to close at 8580.16 points, 4857.20 points, and 20599.24 points, respectively. The mining index shed 4.66% to close at 6014.53 points. The volume of shares traded increased by 51.80%, translating to an 88.68% increase in the market turnover. Table 3 shows the quarterly changes in the key stock market indicators.

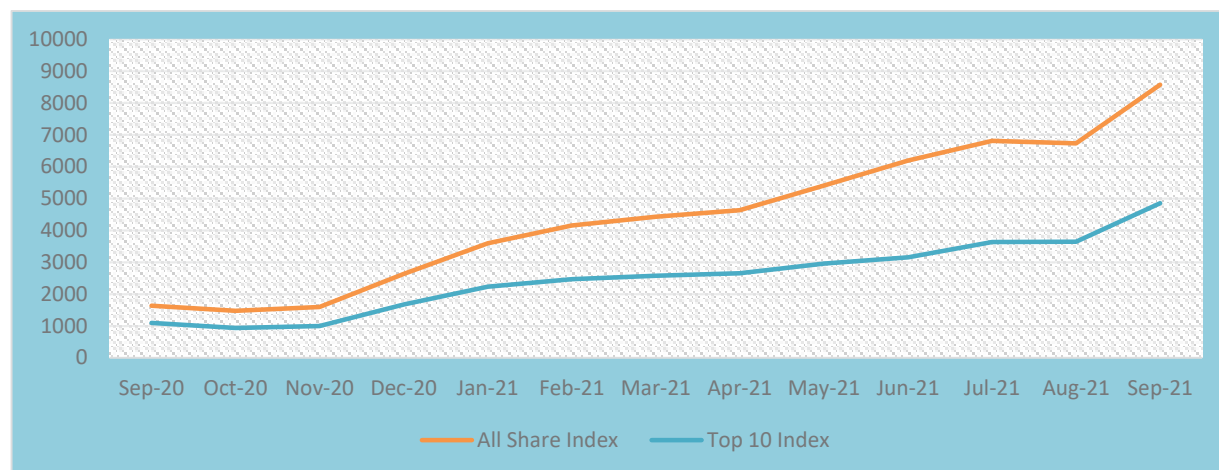
Table 3: Changes in the Key Stock Market Indicators

ZSE Indicator	Jun-2021	Sept-2021	Change (%)
All-share index (points)	6194.88	8580.16	38.50 ▲
Top 10 Index (points)	3154.44	4857.20	53.98 ▲
Medium Cap Index (points)	17293.13	20599.24	19.12 ▲
Small Cap Index (points)	20143.95	25423.29	26.21 ▲
Mining Index (points)	6308.43	6014.53	-4.66 ▼
Shares traded (million)	45.71	69.39	51.80 ▲
Market turnover (ZW\$ million)	743.61	1403.07	88.68 ▲

Source: Zimbabwe Stock Exchange (ZSE). ▲ indicates positive change/gain, and ▼ indicates negative change

Figure 3 shows developments on the ZSE's All-Share and Top 10 indices from the end of September 2020 to the end of September 2021.

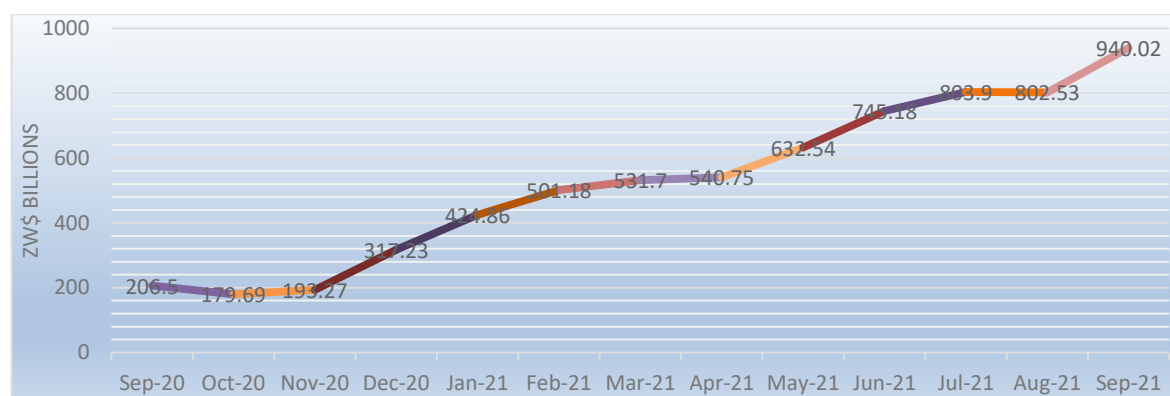
Figure 3: Zimbabwe Stock Exchange All Share and Top 10 Indices



Source: Zimbabwe Stock Exchange

The local bourse gained ZW\$194.84 billion, or 26.15% worth of capitalisation to close at ZW\$940.02 billion during the quarter ending September 2021, from ZW\$745.18 billion recorded in the second quarter. Figure 4 shows the market capitalisation trend for the period of September 2020 to September 2021.

Figure 4: Daily Market Capitalisation in ZW\$ Billions



Source: Zimbabwe Stock Exchange

4.8. Victoria Falls Stock Exchange (VFEX) Performance Highlights

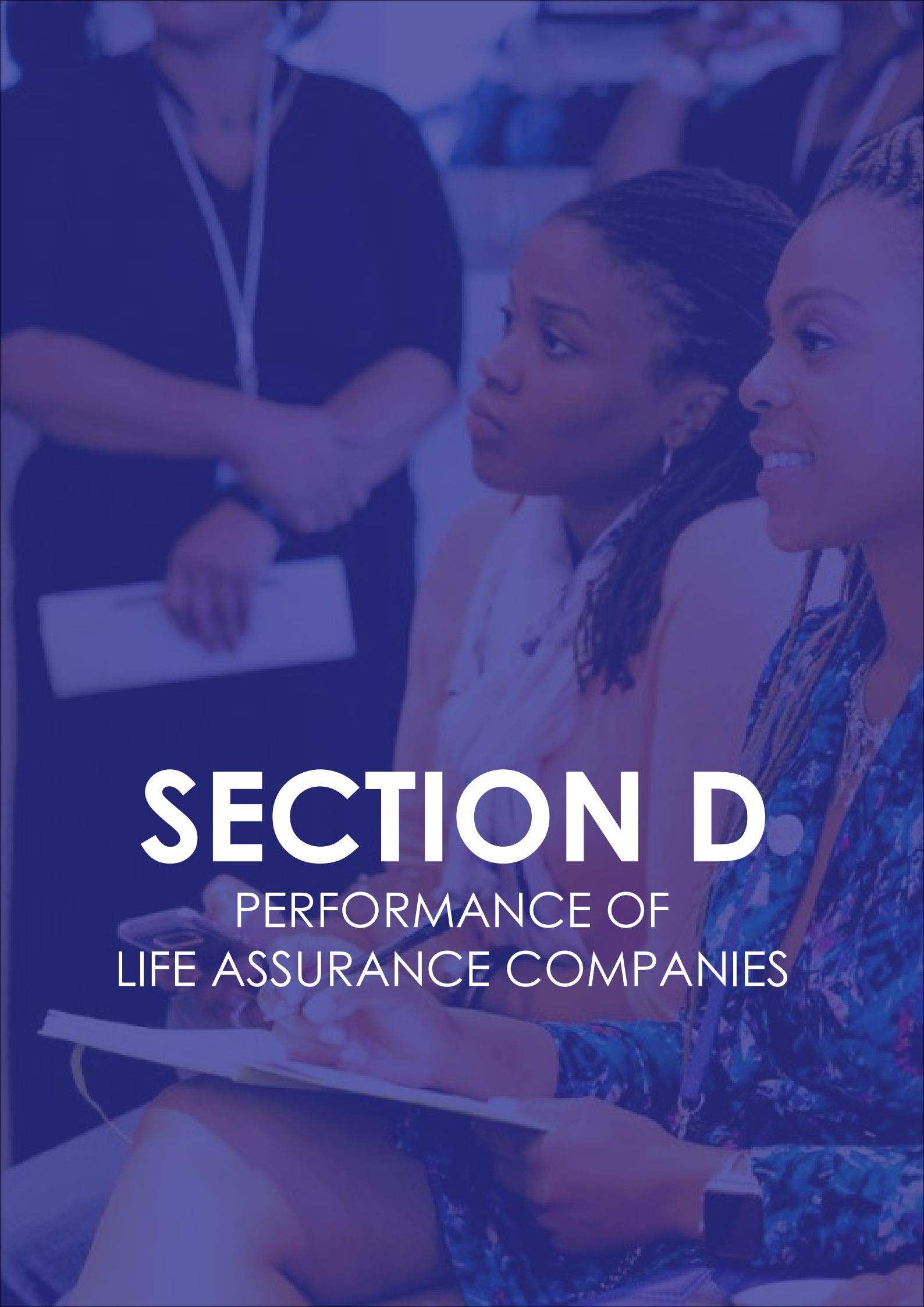
A new addition Padenga Holdings has now been listed on the Victoria Falls Stock Exchange (VFEX) effective July 2021, joining Seedco International which was already trading at VFEX. As of 30 September 2021, the two counters recorded a turnover of US\$473,336.01 from a cumulative volume of trades of 1,833,829 shares. During the quarter under review, the total number of trades recorded was ninety-six (96) and capitalisation was US\$ 208,321,441.69.

The Victoria Falls Stock Exchange signed a strategic Memorandum of Understanding with the Dubai Gold and Commodities Exchange (DGCX) in September 2021 to strengthen bilateral cooperation around commodities trading. As part of the agreement, the DGCX will extend technical support, knowledge and skills to VFEX, with the ultimate aim of establishing an international commodities exchange in Zimbabwe.

4.9. Money Market Developments

Savings Deposit Rates

The average nominal savings deposit rates were lower than the annual inflation rate of 51.5% recorded as at 30 September 2021, implying a reduced margin of negative real returns because of falling inflation experienced during the entire quarter under review. There was an increase in average maximum nominal savings deposit rates from 4.24% as at 1 July 2021 to 8.36% as at 24 September 2021, translating to a negative end of quarter real return of 28%. The maximum one-month nominal deposit rate increased to 12.83% as at 24 September 2021 from 10.77% as at 1 July 2021, with a negative end of quarter real return of 26%. The three-month nominal deposit rate increased to a maximum of 14.03% as at 24 September 2021, 11.72% recorded at the beginning of the quarter, translating to an end of quarter real return of -25%.



SECTION D.

PERFORMANCE OF
LIFE ASSURANCE COMPANIES

PART A: LIFE ASSURANCE BUSINESS

5. Industry Architecture

5.1 As at 30 September 2021, there were 12 registered life assurers and 4 registered life re-assurers under the supervision of the Insurance and Pensions Commission (IPEC).

5.2 Heritage Life failed to submit returns for the quarter under review and was omitted from the report.

5.3 Life assurers had 1 323 agents comprising both corporate agents and individual agents as shown in table 4 below.

Table 4: Distribution of Agents, staff and branches across Life Assurers

LIFE ASSURANCE INDUSTRY STRUCTURE					
Name Of Company	Corporate Agents		Sole Agents		
	20-Sep	21-Sep	20-Sep	21-Sep	Totals 2021
CBZ Life	0	3	53	29	32
Doves Life	0	0	290	192	192
Econet Life	0	0	0	0	0
Evolution H&L	0	0	0	0	0
Fidelity Life	0	0	53	40	40
First Mutual Life	0	0	216	220	220
Nhaka Life	1	1	26	16	17
Nyaradzo Life	0	9	320	310	319
Old Mutual Life	13	13	180	149	162
ZB Life	0	0	151	135	135
Zimnat Life	0	0	252	206	206
Total	14	26	1541	1,297	1,323

**Heritage Life failed to submit Q3 returns*

5.4 For the nine months to 30 September 2021, the number of agents for the life assurance sector decreased by 232 from 1, 555 reported for the nine months ended 30 September 2020 to 1, 323 for the period ended 30 September 2021.

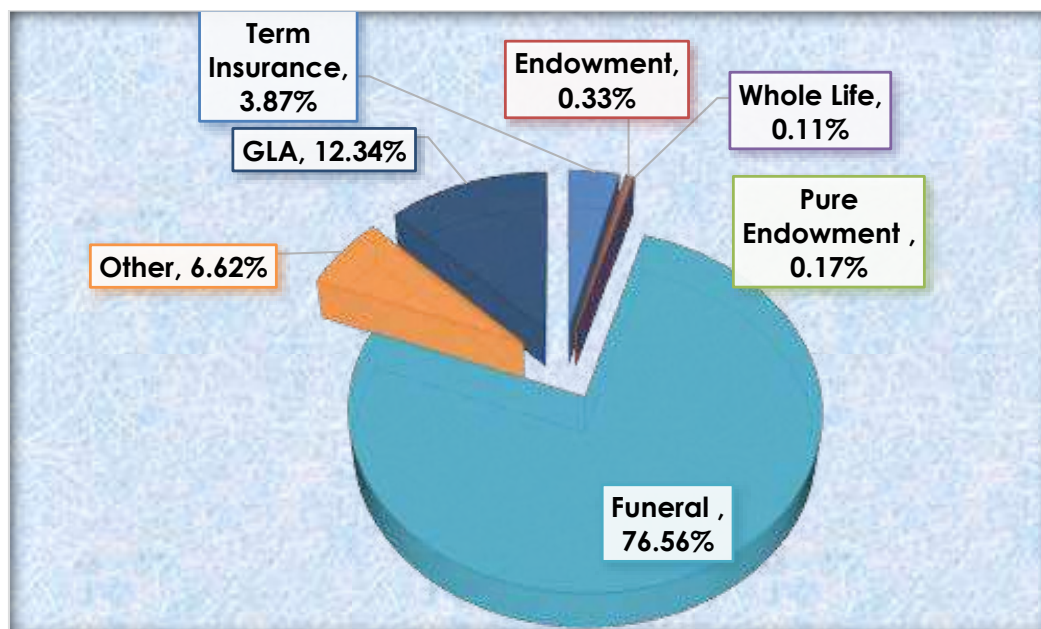


6. Performance in terms of Gross Premium Written

- 6.1 For the nine months to 30 September 2021, gross premium written by direct life assurers grew by 485% in nominal terms from ZW\$2.004 billion recorded during the comparative period in 2020 to ZW\$11.72 billion for the current reporting period.
- 6.2 Based on an inflation-adjusted basis, the growth in GPW was 286%. The positive inflation-adjusted growth in GPW is attributable to new business and to a higher rate of increase in GPW as compared to the rate of increase in inflation as life companies effected premium reviews in response to inflation developments.
- 6.3 Growth in business from traditional life assurance products improved significantly from the prior period, with growth rates well above the annual inflation rate which stood at 51.5% at the end of September 2021.
- 6.4 The main drivers of growth in GPW for the nine months ended 30 September 2021 were GLA and funeral assurance classes of business.
- 6.5 In terms of business composition, 95.5% of the total gross premium written was generated from funeral assurance business, group life assurance business and term life assurance business.
- 6.6 Funeral assurance policies continue to dominate life assurance product lines because they offer defined benefits in terms of funeral services.
- 6.7 Traditional life assurance products which include term assurance, endowment policies, pure endowment and the whole life policies, accounted for a small proportion of business generated during the quarter.

6.8 This reflects a low appetite for traditional life assurance products by the market as shown in figure 5 below.

Figure 5: Distribution of GPW by product

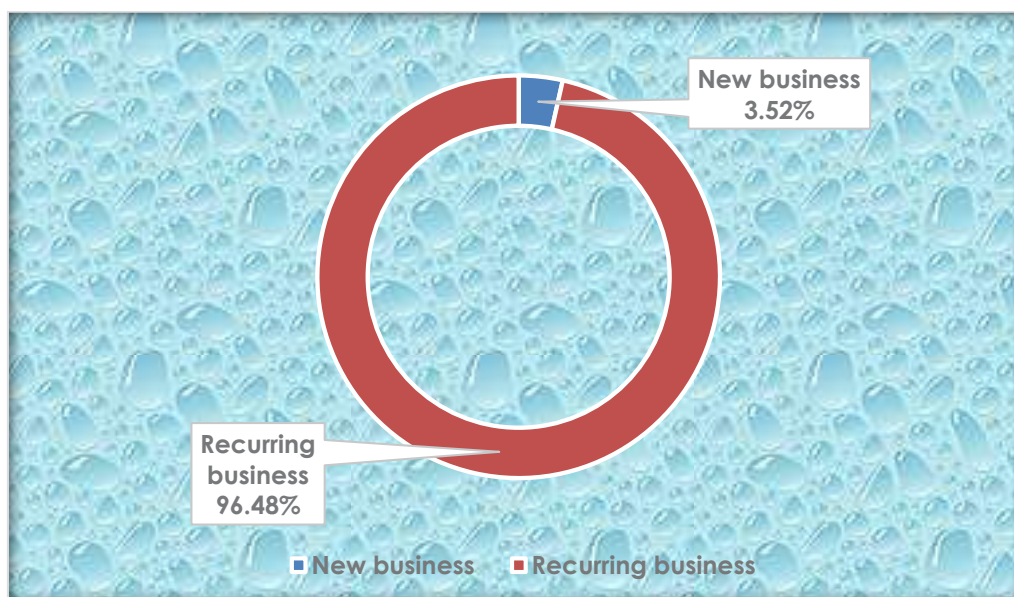


6.9 The Commission continues to encourage sector players to be innovative and to review their traditional life assurance products to align them to policyholder expectations in terms of value preservation and relevance. This is important given the obtaining macroeconomic environment.

6.10 This will also help to reduce policy irrelevance given the legacy issues surrounding the loss of value suffered by policyholders that occurred to pre- 2009 policies.

6.11 On the breakdown of business by source, the life assurance sector's GPW for the nine months to 30 September 2021 was skewed towards the recurring business which accounted for 96.48% of total business written.

Figure 6: Business Composition for Life Assurers



6.12 The low GPW generated from new business reflects the prevailing volatile macro-economic environment characterised by high inflation and an unstable exchange rate thereby eroding disposable incomes and reducing the uptake of life assurance policies (See table 2).

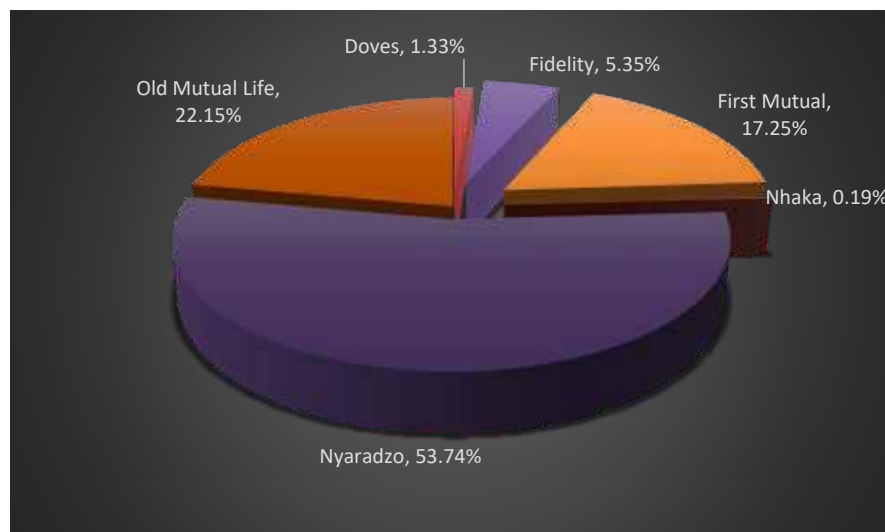
6.13 For the period ended 30 September 2021, the Life Assurance sector wrote foreign currency business amounting to USD\$ 5 million.

6.14 Out of 12 players, only six (6) players submitted their foreign currency returns.



6.15 Foreign Currency Gross Premium Witten (GPW) distribution is shown in figure below:

Figure 7: Distribution of Foreign Currency Gross Premium Written



***Six (6) Life Assurance companies failed to submit their USD returns. The Companies are Zimnat Life, ZB life, Evolution Life, Econet Life, CBZ Life and Heritage Life

Not taken up (NTU) policies

6.16 As at 30 September 2021, the life assurance sector reported a total of 120, 670 not taken up (NTU) policies with a total nominal gross premium of ZW\$30.4 million (See Table below).

Table 5: Not taken up policies

Company	Number of Policies	Nominal Gross Premium \$(000)
CBZ	1, 244	890.89
Doves**	0	0.00
Econet	115, 704	24, 587.10
Evolution	0	0.00
Fidelity	58	145.00
First Mutual	0	0.00
Nhaka	32	22.73
Nyaradzo	0	0.00
Old Mutual	166	215.99
ZB	1, 494	1, 153.65
Zimnat	1, 972	3, 394.58
Total	120, 670	30, 409.95

6.17 Sector players are encouraged make sure their sales staff are well trained to avoid mis-selling which contributes to not taken up policies.

Lapsable policies

6.18 For the nine months to 30 September 2021, the sector had a total of 1.95 million lapsable policies, with 132,723 policies lapsing during the nine months ended 30 September 2021, translating to a lapse ratio of 6.81%.

6.19 The lapse ratio of 6.81% compares favourably to the lapse ratio of 9.21% recorded for the comparative period ended 30 September 2020.

Table 6: Lapse ratios

Company Name	Number of Lapsable Policies at the Beginning of the Quarter	Lapsed Policies (Individual Life)	Lapsed Policies (EB /Corporates)	Lapsed Policies (Others)	Lapse Ratio
Evolution	0	0	0	0.00%	0.00%
Old Mutual	86,316	2,383	0		2.76%
First Mutual	65,575	7,815	0	0.00%	11.92%
Zimnat	74,661	3,950	0	0.00%	5.29%
Nyaradzo	567,296	35,723	1,996	0.00%	6.65%
Fidelity	198	123	0	0.00%	62.12%
CBZ	55,175	2,252	0	0.00%	4.08%
Econet	1,080,114	77,133	0	0.00%	7.14%
ZB	18,361	1,083	0	0.00%	5.90%
Nhaka	1,544	261	4	0.00%	17.16%
Doves	0	0	0	0.00%	0.00%
Totals	1,949,240	130,723	1,996	0.00%	6.81%

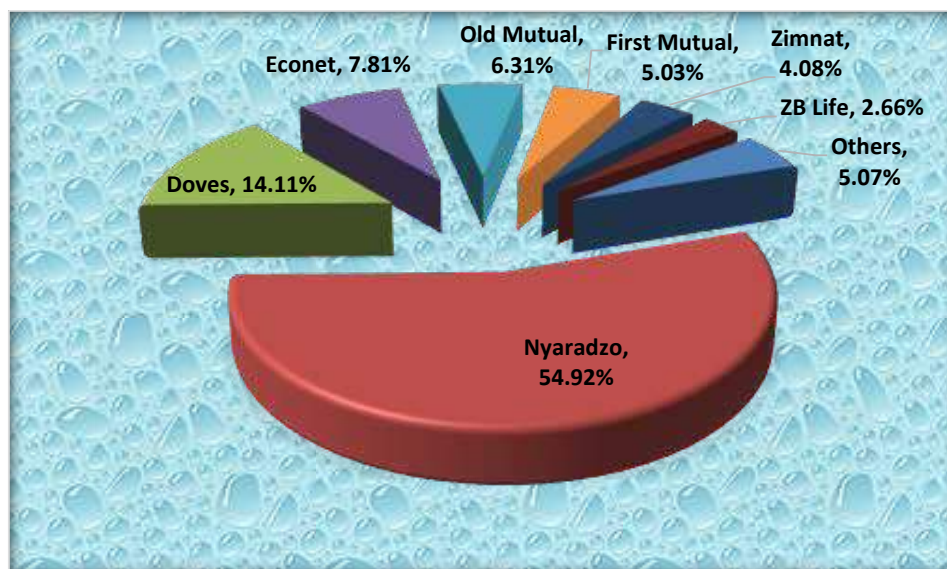
Market share in terms of GPW

6.20 For the nine months ended 30 September 2021, in terms of GPW two players dominated the sector with a total market share of 69% while the remaining players shared the balance.



6.21 Figure 8 below shows the market share distribution for the life assurance sector in terms of GPW.

Figure 8: Market Share in terms of GPW



**Other comprises Evolution Life, Fidelity Life, CBZ Life and Nhaka Life*

7. Capitalisation

7.1 As at 30 September 2021, all the 11 primary life assurers who submitted their returns reported capital positions that were compliant with the MCR of ZW\$75 million (see table 7 below).

7.2 Adequate capitalisation is crucial for resilience and policyholder protection in times of financial distress including high claims experience.

Table 6: Trends in the Capital Positions for Life Assurance Companies

Company	2020 Q3	2021 Q3
CBZ	427,147	512,785
Doves	275,635	1,507,839
Econet	470,406	1,034,737
Evolution	40,719	334,202
Fidelity	519,634	1,304,438
First Mutual	1,451,790	2,179,988
Nhaka	60,880	111,545
Nyaradzo	785,763	3,437,611
Old Mutual	5,023,563	24,889,622
ZB	578,600	1,465,422
Zimnat	527,647	650,709
Total	10,161,784	37,428,899

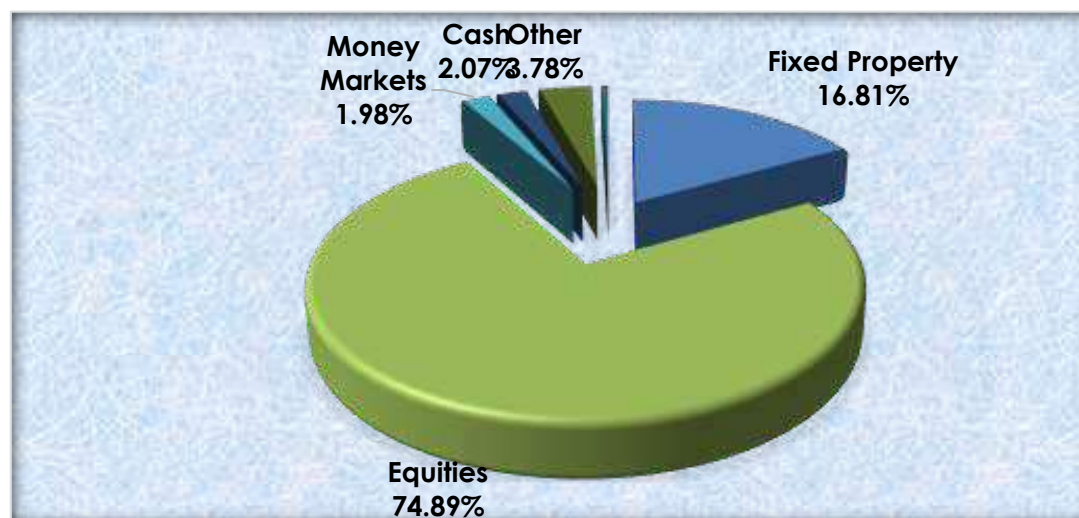
- 7.3 All players are encouraged to continuously carry out capital self-assessments in line with the provisions of Statutory Instrument 95 of 2017.
- 7.4 The Commission is in the process of implementing the ZICARP capital framework. Industry players are expected to submit their ZICARP parallel returns as the Commission transitions to a risk-based supervisory regime.
- 7.5 The framework is set to align MCR to entity specific risk profiles.



8. Asset quality

- 8.1 As at 30 September 2021, the sector reported in nominal terms, total assets of ZW\$70.09 billion which represents a growth of 27% from ZW\$55.12 billion reported as at 30 June 2021.
- 8.2 The increase in the sector total assets was mainly a result of the increase in equity values on the Zimbabwe Stock Exchange (fair value adjustments) and an increase in the value of fixed properties on account of property revaluations.
- 8.3 Fixed properties and equities constituted 91.7% of the total assets for life assurers. The concentration of the sector's assets in long term investments reflects the general nature of liabilities for the sector which are long-term in nature.
- 8.4 It is a requirement that all entities continuously adhere to the requirements of circular 1 of 2013 and align their investment policy statements to the requirements of the circular and their liability profiles.
- 8.5 In cases where the structure of liabilities warrants a deviation from the requirements of the Circular an entity may seek the Commission's exemption.
- 8.6 Figure 7 below shows the asset breakdown for the life assurance sector for the nine months to 30 September 2021.

Figure 9: Asset Breakdown



**Other investments below include plant and equipment, receivables, deferred tax assets, technical assets, deferred acquisition costs and unquoted shares*

Prescribed Assets

- 8.7 All life assurance sector players reported prescribed asset ratios that were below the minimum required threshold of 15% as at 30 September 2021.
- 8.8 The total investments in prescribed assets by the life assurance sector amounted to ZW\$1.83 billion translating to a compliance level of 2.84%.
- 8.9 Prescribed asset investments are an important resource mobilisation tool for funding long term government projects of national interests to foster socio-economic development towards a middle-income economy and the attainment of Vision 2030.
- 8.10 Players are urged to continuously carry out compliance self-assessments, develop compliance roadmaps in cases of non-compliance and come up with viable projects for possible conferment of prescribed asset status by the Minister of Finance and Economic Development.

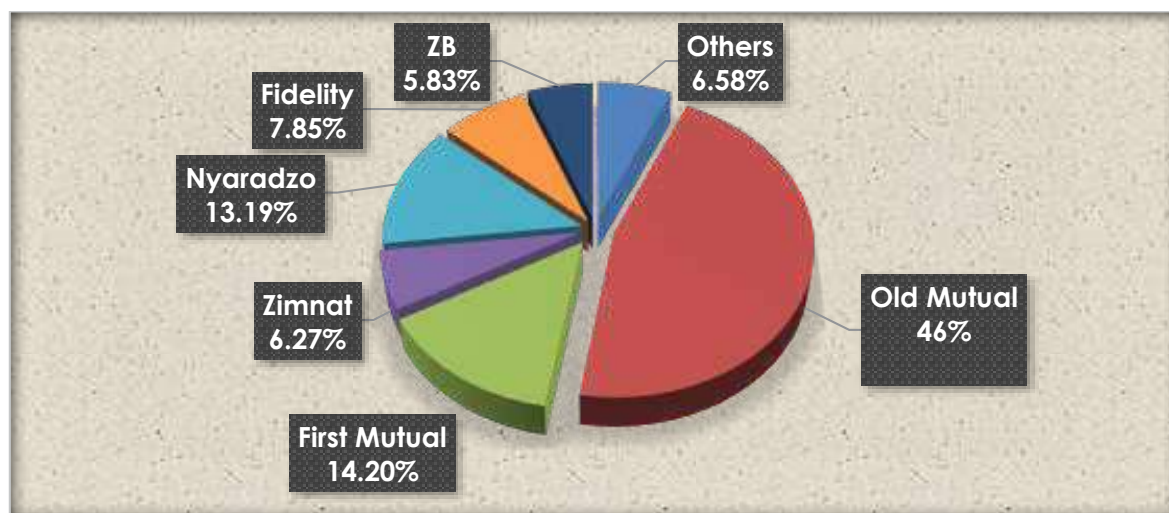
Table 7: Prescribed Asset Investments

Life Assurer	Prescribed Asset Inv	Total Assets	Prescribed Asset Ratio	Amt Required to be Compliant	Variance in Compliance
Evolution Life	5,000	339,315,507	0.00%	50,897,326	15.00%
Old Mutual Life	1,246,840,69	32,365,087,064	3.85%	4,854,763,059	11.15%
CBZ Life	105,043,532	891,261,021	11.79%	133,689,153	3.21%
Nhaka Life	120,000	148,924,778	0.08%	22,338,716	14.92%
First Mutual Life	1,561,330	8,619,570,405	0.02%	1,292,935,560	14.98%
Nyaradzo Life	202,732,600	9,229,734,357	2.20%	1,384,460,153	12.80%
ZB Life	24,550,992	4,080,724,534	0.60%	612,108,680	14.40%
Econet Life	67,366,816	1,467,654,31	4.59%	220,148,147	10.41%
Doves Life	4,574	1,756,771,35	0.00%	263,515,703	15.00%
Zimnat Life	166,700,519	4,552,001,341	3.66%	682,800,201	11.34%
Fidelity Life	185,154	456,972,428	0.04%	68,545,864	14.96%
Totals	1,815,111,220	63,908,017,115	2.84%	9,586,202,567	12.16%

Market share in terms of assets

8.11 In terms of total assets, the sector is dominated by 3 players with a market share of 73% of total assets while the remaining 8 players shared the remaining 27%. Figure 10 below shows the distribution of assets by each entity.

Figure 10: Distribution of assets per by player



**Other comprises Econet Life, Doves Life, Evolution Life, CBZ Life, and Nhaka Life*

9. Reassurance

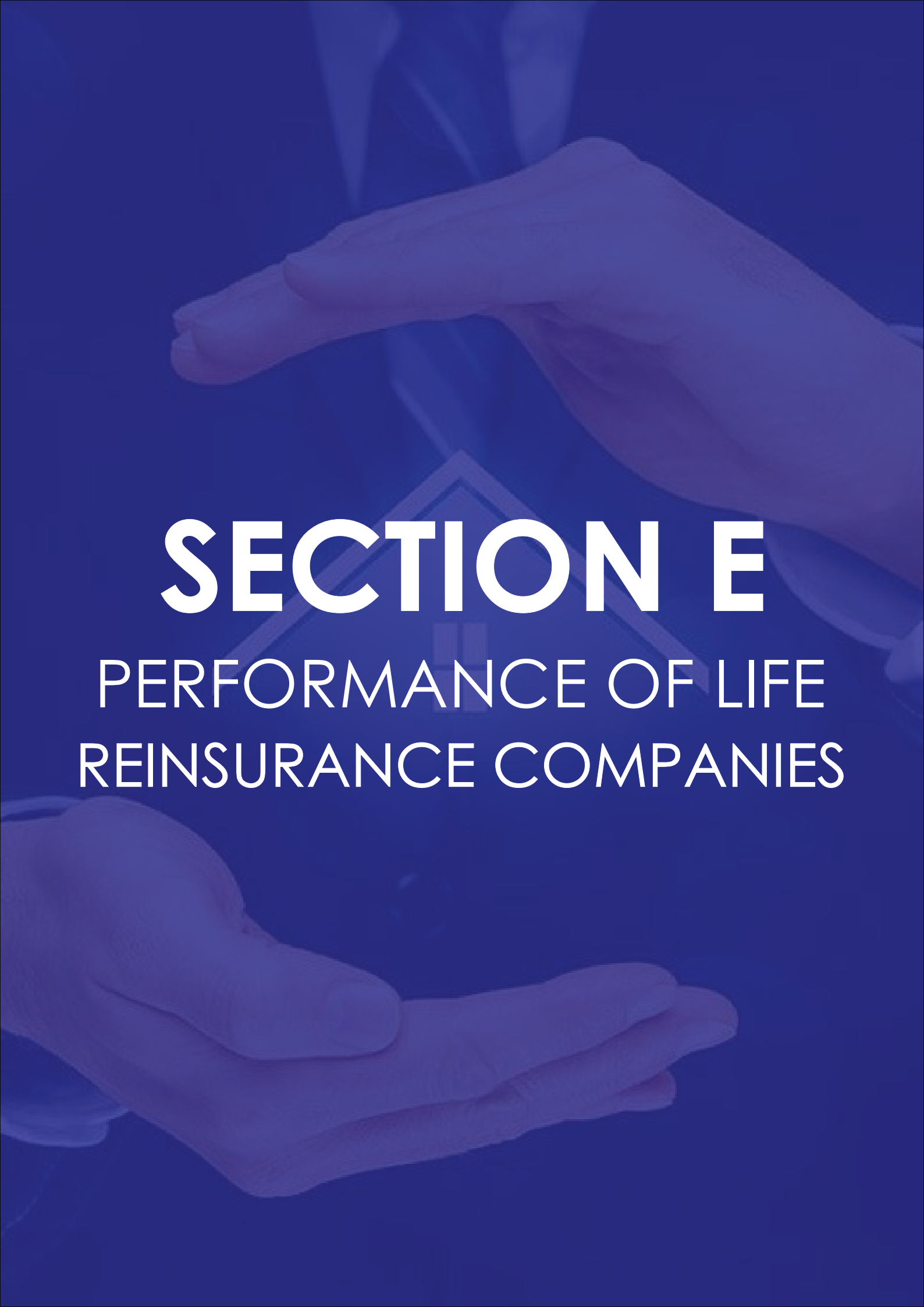
- 9.1 For the 9 months ended 30 September 2021, the life assurance sector ceded ZW\$283.64 million of the ZW\$11.7 billion translating to a 2.43% reinsurance ratio.
- 9.2 The Reassurance ratio for the life assurance sector was low, on account of a significant GPW portion being generated from GLA and funeral assurance businesses which traditionally have low reinsurance.
- 9.3 However, it should be noted that, reinsurance is an important risk management mechanism especially during periods of high claims experience and hence should be embraced for prudent risk management.
- 9.4 As part of the underwriting risk management, life assurers are encouraged to consider reducing their retention levels, given the levels of under-capitalisation in the sector and the impact of the current Covid pandemic.

10. Earnings

- 10.1 In nominal terms, total profit after tax for life assurers decreased from ZW\$45.07 billion for the nine months to 30 September 2020 to ZW\$12.81 billion for the current reporting period.
- 10.2 This translates to an inflation-adjusted decrease of 81%, indicating that the sector recorded a real growth in profit after tax.
- 10.3 The combined ratio for the life assurance sector increased from 75% for nine months ended 30 September 2020 to 86% for the comparable period in 2021, indicating a decrease in underwriting profits in real terms.
- 10.4 In nominal terms, underwriting profit for the sector increased by 59.49% from ZW\$539.66 million as at 30 September 2020 to ZW\$860.72 million as at 30 September 2021.

11. Liquidity

- 11.1 As at 30 September 2021, the life assurance industry reported current assets of ZW\$4.84 billion compared to ZW\$3.9 billion reported for the half-year ended 30 June 2021.
- 11.2 Current liabilities increased from ZW\$3.4 billion as at 30 June 2021 to ZW\$4.62 billion as at 30 September 2021 translating to working capital of ZW\$239.89 million and ZW\$538 million for the two periods respectively.
- 11.3 The life assurance sector's average current ratio was 105% as at 30 September 2021 showing sufficient liquidity to cover short-term contractual obligations as they fall due.

The background of the slide features a blue-tinted image of two hands, one above the other, cupping a stylized white house icon. The hands are positioned as if they are carefully holding or supporting the house, symbolizing protection, care, and financial security. The overall aesthetic is professional and reassuring.

SECTION E

PERFORMANCE OF LIFE REINSURANCE COMPANIES

Part B: Life Reassurance Business

12. Nature of the reinsurance business

- 12.1 While all re-assurers are authorised to write both life and non-life business, the statistics presented in this section only pertain to the composite reinsurers' life assurance business except for their capital positions which comprise both life and non-life business.
- 12.2 Please note that the figures for Zep-Re only relate to the company's Zimbabwe Regional Hub Office.
- 12.3 The Regional Hub Office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa, among others. ZEP Reinsurance Company was formed under the auspices of COMESA and writes business in all COMESA member States. The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole.

13. Performance in terms of Business Written

- 13.1 The volume of life reinsurance business written, in terms of gross premium written (GPW), increased by 402% in nominal terms from ZW\$78.84 million reported for the nine months ended 30 September 2020 to ZW\$396.05 million for the nine months ended 30 September 2021 (See table below).
- 13.2 The growth was attributable to an increase in group life assurance business by the life re-assurers and an increase in premiums in response to inflation developments.
- 13.3 In real terms, the sector experienced a growth of 232% to inflation adjusted GPW of ZW\$261.42 million.

Table 8: Breakdown of GPW for reinsurers

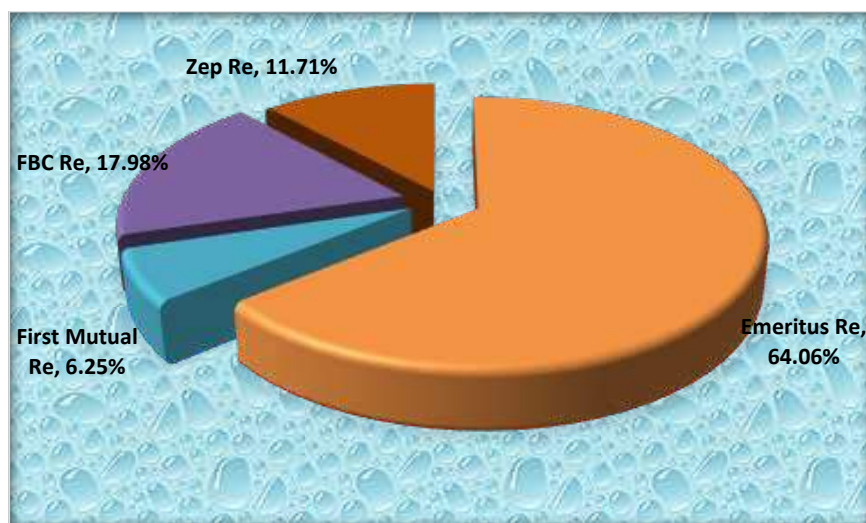
Company Name	Q3 2021 Total Premium (ZW\$000)	Q3 2020 Total Premium (ZW\$000)	2021 Q3 (Inflation adjusted ZW\$000)	Growth after inflation adjustment	Nominal Growth (%)
First Mutual Reinsurance	24,764	48,262	16,346	-66%	-49%
FBC Reinsurance	71,191	16,499	46,991	185%	331%
Emeritus Reinsurance	253,710	7,424	167,465	2156%	3317%
ZEP RE-Insurance	46,388	6,655	30,619	360%	597%
Total	396,052	78,840	261,421	232%	402%

Market Share in terms of GPW

13.4 GPW for the life reinsurance sector remains concentrated in one (1) player, controlling a market share of 64% while the remaining three (3) players controlled the remaining 36%.

13.5 The breakdown of the market share of sector players in terms of GPW is shown in figure 11 below.

Figure 10: Market Share by Gross premium written



14. Capitalisation

14.1 As at 30 September 2021, all four composite Re-assurers were compliant with the minimum capital requirement of ZW\$112.5 million.

14.2 Adequate capitalisation is crucial for the resilience of the sector and policyholder protection in times of financial crises.

14.3 All players are encouraged to continuously carry out capital self-assessments in line with the provisions of Statutory Instrument 95 of 2017.

14.4 Compliance with minimum capital requirements is a statutory requirement and players are required to be always compliant.

14.5 Table 10 below shows the trends in capital positions for re-assurers:

Table 9: Trend in the Capital Position for Composite Re-assurers

Company Name	Capital (Net Assets) Jun 2021 (ZW\$ 000)	Capital (Net Assets) Sep 2021 (ZW\$ 000)
First Mutual Reinsurance	748,680	867,788
Emeritus Reinsurance	311,480	1,524,382
FBC Reinsurance	293,579	1,582,692
ZEP Re-insurance	741,310	822,268
Totals	2,095,049	4,797,130

**Please note, the capital positions above comprises both life and non-life reinsurance business (Composite Reassurance Business).*

15. Asset Quality

15.1 Total assets for life re-assurers amounted to ZW\$3.13 billion for nine months to 30 September 2021, reflecting a 23% increase from ZW\$2.55 billion reported as at 30 June 2021.

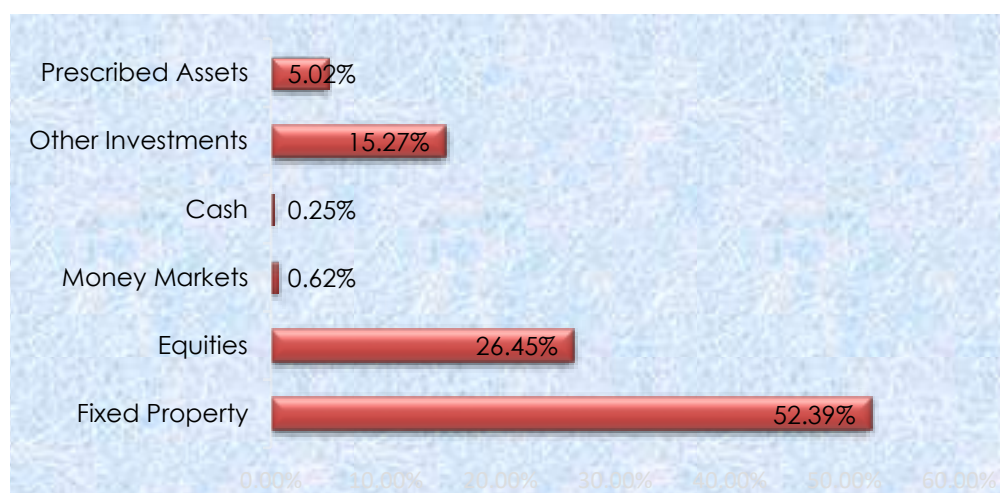
15.2 The growth in total assets was mainly due to increased equity values on account of significant fair value adjustments on the Zimbabwe Stock Exchange and property revaluations.

15.3 Equities constituted and fixed property 79% of the total assets while the remaining investments constituted the remaining 21%

15.4 Liquid assets such as money market instruments and cash constituted only 0.87% of the total assets.

15.5 Players are urged to strike a balance between investing in value preserving assets and liquidity for the settlement of obligations.

Figure 11: Life Re-assurers Total Assets



**Other investments below include plant and equipment, deferred tax assets, deferred acquisition costs and unquoted shares.*

Prescribed Assets

15.6 Prescribed assets investments are an important resource mobilisation tool for funding infrastructure development and other projects of national interests to foster socio-economic development.

15.7 Statutory Instrument 206 of 2019 requires all life re-assurers to have a minimum of 15% of their assets invested in prescribed asset securities.

15.8 Only one (1) out of four (4) life re-assurers was compliant with the minimum prescribed asset threshold.

15.9 For the nine months to 30 September 2021, the total investments in prescribed assets by the life re-assurance sector amounted to ZW\$45.5 million translating to an average compliance level of 3.90%.

15.10 Non-compliant life re-assurers are encouraged to develop prescribed asset compliance plans in line with SI 206 of 2019 and come up with viable projects for the possible conferment of prescribed asset status by the Minister of Finance and Economic Development.

Table 10: Prescribed assets ratios for sector players.

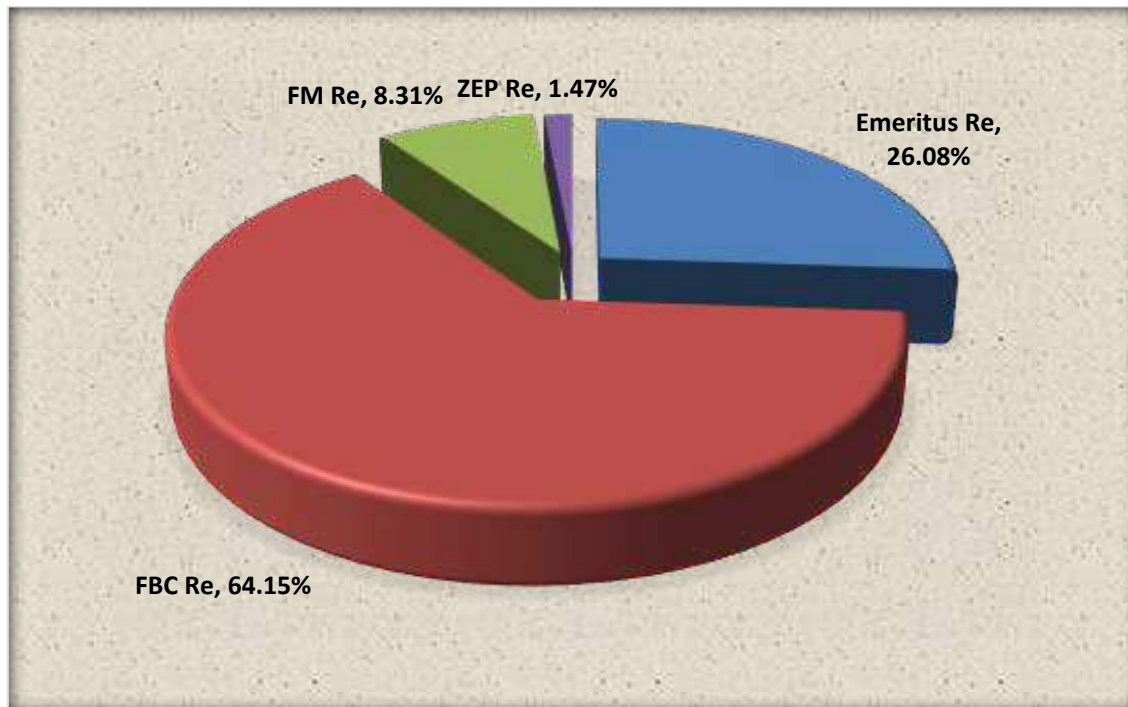
Reinsurer	Prescribed asset	Total assets	Prescribed	Amount required	Variance
	Investments		asset ratio	to be compliant	compliance %
Emeritus Re	0	816,933,416	0%	122,540,012	15.%
FBC Re	2,178,957	46,361,297	4.7%	6,954,194	10.3%
FM Re	12,800,912	272,968,744	4.7%	40,945,311	10.3%
Zep Re	30,523,035	30,523,035	100%	4,578,455	0%
Total	45,502,905	1,166,786,493	3.9%	175,017,974	11.1%

Market Share in terms of total assets

15.11 One player dominated in terms of total assets, controlling 64% of the total assets for the life re-assurance sector, while the remaining three (3) players controlled 36% of the sector's total assets.

15.12 Breakdown of sector assets by players is shown in figure 12 below.

Figure 12: Market Share distribution in terms of total assets



16. Earnings

- 16.1** For the nine months to 30 September 2021, the life reinsurance sector's profit after tax increased by 193% from ZW\$128.29 million reported as at 30 September 2020 to ZW\$376.41 million for the current reporting period.
- 16.2** For the period ended 30 September 2021, the life insurers reported an inflation-adjusted profit of ZW\$248.458 million.
- 16.3** The increase in profit after tax is mainly attributable to significant increases in investments income, as well as significant increases in unrealised gains on equity investments.
- 16.4** The life reinsurance sector had a combined ratio of 98% for the nine months ended 30 September 2021.
- 16.5** The Commission encourages all the players to employ prudent cost-cutting measures and widen their premium income streams so that they improve on their combined ratios.

17. Liquidity

- 17.1** As at 30 September 2021, the life reinsurance industry reported total current assets amounting to ZW\$1.23 billion compared to ZW\$627.29 million reported as at 30 September 2020.
- 17.2** Current liabilities as at 30 September 2021 amounted to ZW\$1.42 billion compared to ZW\$495.62 million reported as at 30 September 2020.
- 17.3** The working capital for the sector as at 30 September was negative ZW\$182 million.
- 17.4** The life reinsurance sector's current ratio was 0.87 % showing insufficient liquidity to cover short-term contractual obligations as they fall due.
- 17.5** The sector must hold enough current assets to cover its current liabilities.

SECTION G

COMPLAINTS HANDLING AND CONCLUSION



18. Complaints

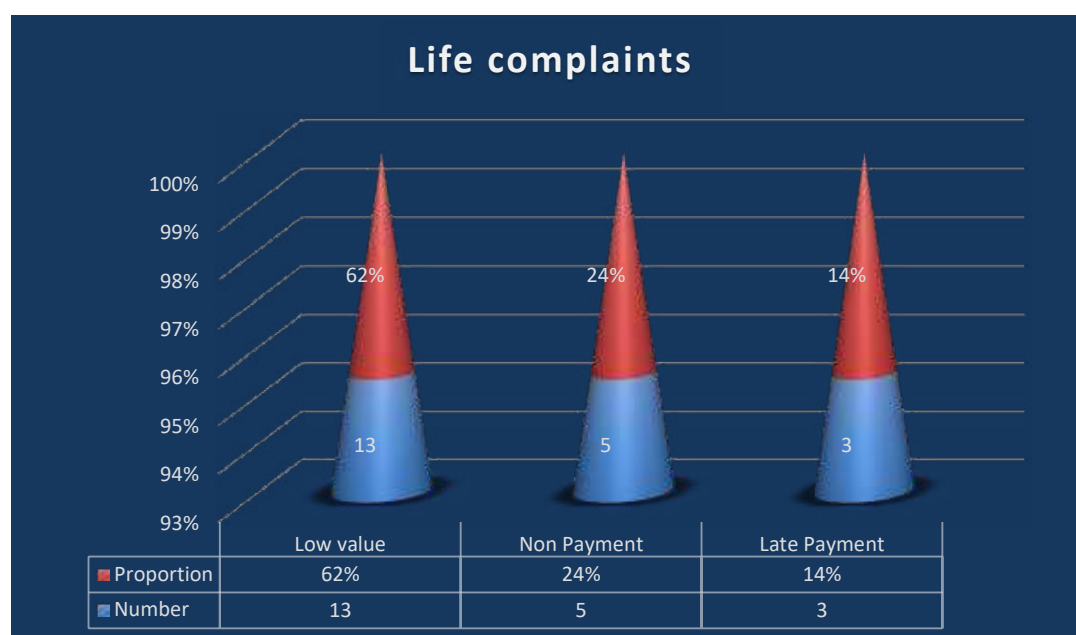
18.1 During the quarter under review, the Commission received 21 complaints, 15 of which were resolved whilst 6 were still outstanding. The major source of complaints related to the amount received versus the anticipated amount.

Table 11: Number of complaints

Nature of complaints	Number of complaints	% of total
Low value pay-outs in terms of benefits	13	62%
Non-payment of benefits	5	24%
Late payment of benefits	3	14%
Total	21	100%

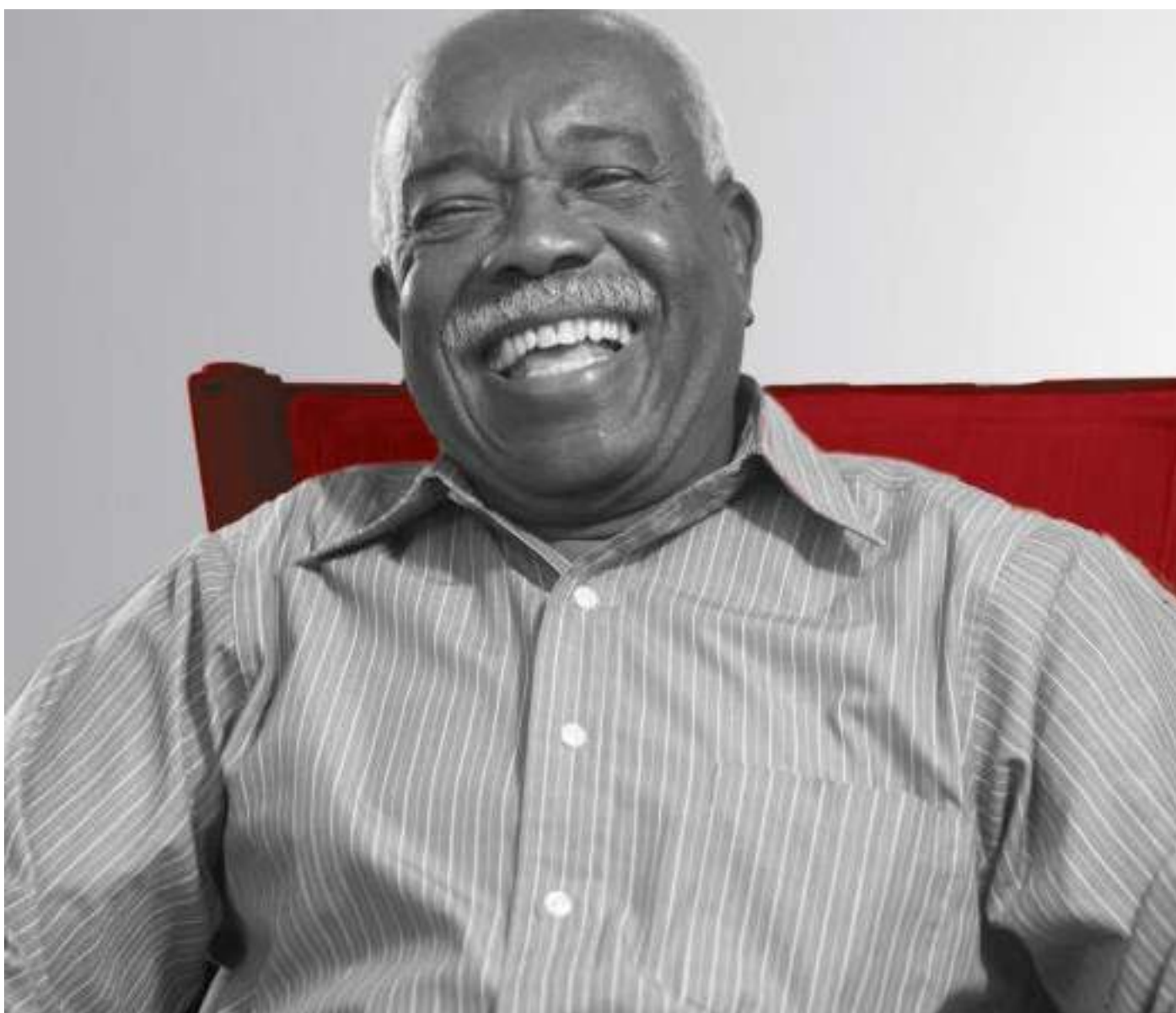
18.2 The second complaint emanated from non-payment of benefits, and these were referred to the regulated entities for more information on the reasons thereof. Some policyholders also complained about the late payment of their benefits. The above information is pictorially depicted in Figure 13 below:

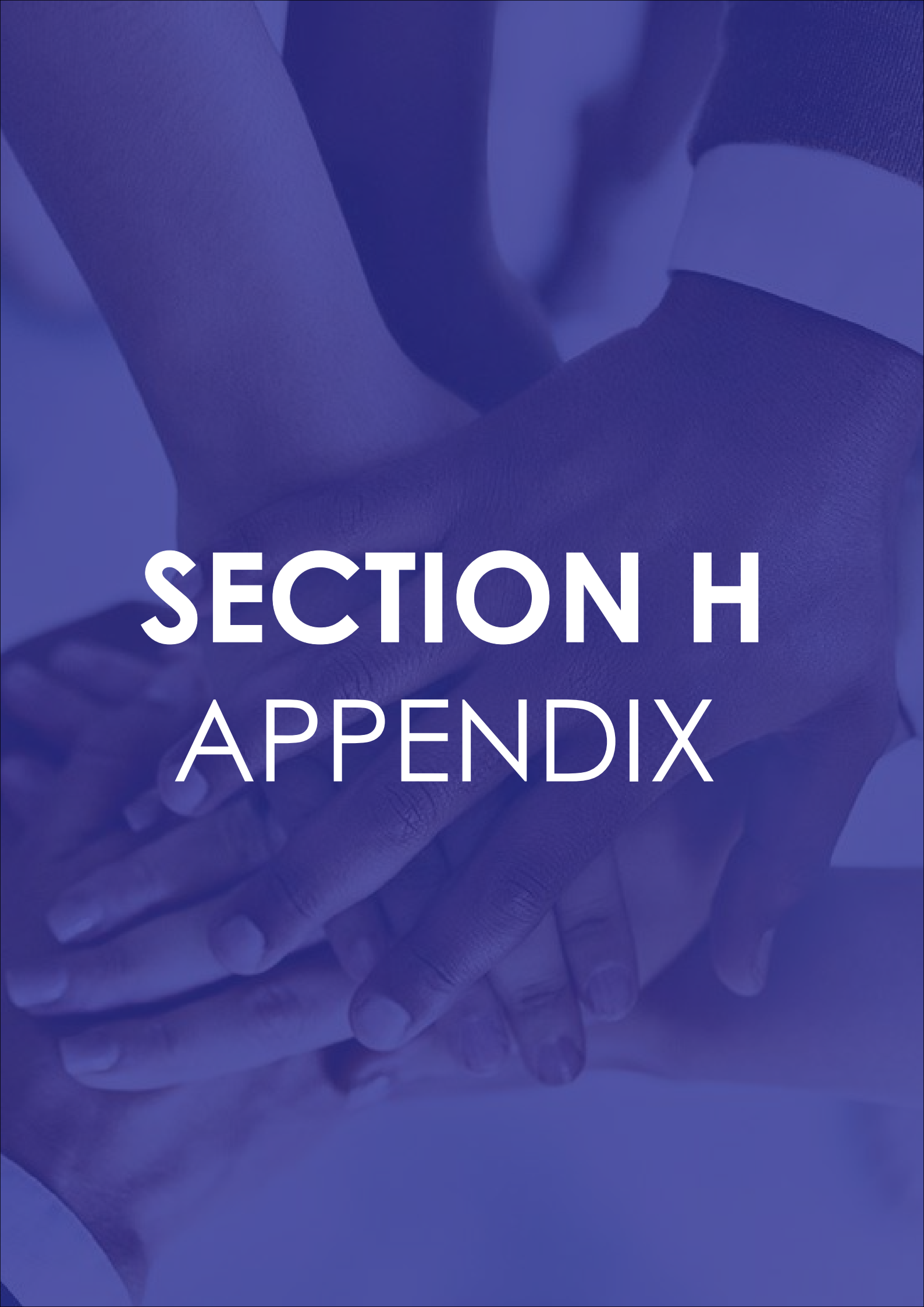
Figure 13: Categorisation of complaints



19. Conclusion

- 19.1 The Commission continues to encourage the life assurance sector to be up to date with all the regulatory developments and to comply with all applicable laws, statutes, directives, guidelines, and circulars on an ongoing basis.
- 19.2 Sector players are also encouraged to be highly innovative in terms of both product development as well as realignment of their business models to adapt to the unfolding realities in the market environment.
- 19.3 The Commission underscores the need for sector players to continuously strengthen their balance sheets, to withstand exogenous shocks that can have a devastating effect on their financial stability.





SECTION H

APPENDIX

Annexure 1: Statement of Comprehensive Income for for Life Assurers

	Evolution Life	Old Mutual Life	CBZ Life	Nhaka	First Mutual Life	Nyaradzo	ZB Life	Econet Life	Doves Life	Zimnat Life	Fidelity Life	TOTALS
Gross Premium Written	22,384,953	739,921,835	231,104,552	50,492,596	589,581,872	6,435,987,624	311,738,985	915,173,629	1,653,951,164	478,378,638	290,184,152	11,718,900,001
Outward Reassurance	3,597	85,698,161	9,189,769	348,488	0	0	37,777,582	69,906,794	0	72,840,711	7,873,790	283,638,892
Net Premium Written	22,388,550	654,223,674	221,914,783	50,144,108	589,581,872	6,435,987,624	273,961,403	845,266,836	1,653,951,164	405,537,927	282,310,362	11,435,268,303
Unearned Premiums	0	17,920,774	790,022	295,045	0	0	0	46,348,659	0	37,875,356	0	103,229,856
Net Earned Premium	22,388,550	636,302,900	221,124,762	49,849,063	589,581,872	6,435,987,624	273,961,403	798,918,177	1,653,951,164	367,662,571	282,310,362	11,332,038,447
Claims Paid	5,360,786	255,583,860	33,355,149	3,515,079	187,008,254	2,359,301,093	94,281,301	571,839,871	382,649,088	226,379,067	133,890,396	4,253,163,943
Claims Outstanding	33,114	0	9,953,069	0	0	0	6,218,635	7,314,168	0	0	0	23,518,986
IBNR	1,567,199	187,793,952	0	634,748	0	0	0	58,403,462	0	0	0	248,399,360
Change in provision for investment	0	2,026,519,635	0	0	0	0	0	0	165,395,116	0	0	2,191,914,751
Change in provision for insurance	0	981,785,744	0	0	277,561,484	0	0	0	0	0	0	1,259,347,228
Transfer to Policyholder Funds	0	0	0	0	0	1,644,825,354	617,742,671	0	0	0	0	2,262,568,025
Net Claims	6,961,098	3,451,683,191	43,308,218	4,149,827	187,008,254	4,004,126,447	705,805,337	637,557,500	548,044,204	226,379,067	133,890,396	9,948,913,539
Management Expenses	0	0	0	31,699,973	0	1,794,863,842	95,835,832	0	480,822,650	222,675,069	0	2,625,897,366
Net Fees and Commission Paid	4,602,774	0	16,710,785	2,188,078	25,633,762	423,243,771	66,191,798	368,125	121,507,999	51,444,627	0	711,891,719
Underwriting Profit/(Loss)	10,824,679	\$ (2,815,380,290)	161,105,758	11,811,185	376,939,856	213,753,564	-593,871,564	160,992,552	503,576,311	-132,836,193	148,419,966	860,716,113
Fair value adjustments	0	9,218,098,413	180,587,419	29,387,350	1,709,472,364	0	283,364,553	482,420,435	0	1,134,013,441	277,647,502	13,314,991,477
Dividend income	0	132,640,251	2,130,680	0	63,518,173	5,431,861	12,710,549	12,884,009	0	0	2,965,275	232,280,796
Rental income	0	12,313,292	2,711,820	474,384	0	3,121,332	8,511,741	3,039,175	8,696,689	52,875,274	13,088,440	104,832,148
Other Income	0	768,331	49,378,919	5,349,278	0	26,101,133	13,302,691	294,222,328	5,411,785	352,324,149	30,623,623	777,482,236
Other Income2	0	0	-25,054	-8,897,424	0	516,248,988	611,310,527	4,449,088	100,696	4,951,796	12,102,824	1,140,241,442
Other Income3	0	0	7,971,781	25,159	0	0	9,063,312	0	0	138,916,208	13,318,378	169,294,837
Other Income4	0	0	0	24,737	0	0	0	0	0	0	24,073,300	24,098,037
Other Income5	0	0	0	0	0	0	0	0	0	0	622,818,563	622,818,563
Administrative Expenses	3,484,653	127,849,382	172,730,608	33,914,641	452,486,928	274,877,614	96,110,138	516,106,363	0	182,659,832	112,577,288	1,972,797,446
Other Expenses1	4,264,396	57,197,827	67,420,129	2,125,000	0	0	7,262,015	26,525,503	0	1,200,868,235	4,523,352	1,370,186,456
Other Expenses2	0	0	109,789	0	0	0	0	3,142,983	0	0	924,854,916	928,107,687
Other Expenses3	0	0	0	0	0	0	0	0	0	0	45,424,693	45,424,693
Other Expenses4	0	0	0	0	0	0	0	0	0	0	301,187	301,187
Other Expenses5	0	0	0	0	0	0	0	0	0	0	10,717,050	10,717,050
Earnings Before Interest and Taxation	3,075,630	6,363,392,788	163,820,374	2,135,028	2,602,417,320	489,779,264	241,019,656	412,232,737	517,785,481	166,716,608	884,060,617	11,846,435,504
Interest	0	0	931,537	0	9,432,870	265,350,998	3,877,274	2,230,923	0	0	5,552,761	287,376,362
Interest expense	0	0	211,193	0	1,290,997,974	0	0	18,814,571	6,190,003	25,445	54,880	1,316,294,067
Earnings Before Tax	3,075,630	6,363,392,788	164,540,718	2,135,028	3,902,848,164	755,130,261	244,896,930	395,649,089	511,595,478	166,691,163	889,558,498	13,399,513,748
Taxation	0	0	356,235	0	386,398,921	137,528,739	45,023,311	253,396	0	20,181,078	0	589,741,681
Earnings After Tax	3,075,630	6,363,392,788	164,184,482	2,135,028	3,516,449,243	617,601,522	199,873,619	395,395,693	511,595,478	146,510,085	889,558,498	12,809,772,066
Total Comprehensive Profit/(Loss) Attributable to Shareholders	3,075,630	6,363,392,788	164,184,482	2,135,028	3,516,449,243	617,601,522	199,873,619	395,395,693	511,595,478	146,510,085	889,558,498	12,809,772,066

Annexure 2: Statement of Financial Position for Life Assurers

	Evolution Life	Old_Mutual Life	CBZ Life	Nhaka Life	First Mutual Life	Nyaradzo Life	ZB Life	Econet Life	Doves Life	Zimnat Life	Fidelity Life	Totals
Non-Current Assets												
Intangible Assets	0	0	0	0	0	0	799,559	0	0	76,926	18,403,534	19,280,019
Property and Equipment	7,988,183	114,437,704	104,577,455	2,247,373	0	6,249,470,909	36,575,737	107,118,122	185,397,932	9,729,419	1,460,198	6,819,003,031
Investment Property	125,104,055	2,948,992,966	339,842,430	17,250,000	41,898,492	190,607,110	208,249,228	179,112,654	884,931,000	1,541,403,900	1,105,294,110	7,582,685,945
Investments: Quoted equities	750,000	27,580,024,594	230,708,382	0	3,614,311,351	665,257,521	370,068,899	828,067,256	66,140,672	1,776,893,805	486,382,122	35,618,604,602
Unquoted equities	204,897,915	726,311,558	62,706,445	30,202,158	307,683,273	395,066,085	328,205,493	65,656,533	0	399,579,190	3,603,486,775	6,123,795,426
Bonds	0	141,250,961	0	0	37,512,040	0	24,550,993	253,969	0	15,376,126	60,458,440	279,402,528
Deferred acquisition costs	0	0	12,630,130	0	0	0	0	0	0	0	0	12,630,130
Other Non-Current Assets1	0	0	0	47,985,000	5,635,546,759	0	3,052,462,745	1,710,284	0	17,719,378	0	8,755,424,166
Other Non-Current Assets2	0	0	0	284,442	0	0	8,200,285	0	0	2,204,843	0	10,689,569
Other Non-Current Assets3	0	0	0	235,072	0	0	22,369	0	0	1,799,495	0	2,056,936
Total Non-Current Assets	338,740,153	31,511,017,783	750,464,843	98,204,045	9,636,951,915	7,500,401,625	4,029,135,307	1,181,918,818	1,136,469,604	3,764,783,081	5,275,485,178	65,223,572,352
Current Assets												
Premium Receivable	2,500	3,728,240	17,241,000	340,852	43,524,042	0	0	23,250,114	0	7,667,369	15,942,207	111,696,324
Money market Investments	0	246,089,411	22,462,137	120,000	33,647,002	67,012,947	20,021,968	139,753,615	0	53,887,033	0	582,994,114
Short term Investments	5,000	0	0	25,424,553	0	0	0	0	588,427	257,430,269	0	283,448,249
Other receivables	0	0	0	1,197,399	31,231,098	607,447,836	28,166,978	1,589,324	1,039,313	199,668,841	107,110,799	977,451,588
Cash and Bank Balances	249,859	364,668,236	101,093,042	1,458,332	105,007,275	304,730,013	3,400,281	90,819,229	226,973,406	59,878,126	88,815,224	1,347,093,023
Other Current Assets1	317,996	239,583,395	0	18,162,812	2,623,589	202,732,601	0	6,534,171	148,627,087	41,986,103	1,756,590	662,324,345
Other Current Assets2	0	0	0	3,840,711	81,371,140	547,409,336	0	23,032,361	243,073,521	0	0	898,727,069
Other Current Assets3	0	0	0	176,074	0	0	0	756,685	0	0	0	932,759
Total Current Assets	575,355	854,069,282	140,796,179	50,720,733	297,404,147	1,729,332,732	51,589,228	285,735,500	620,301,754	620,517,741	213,624,820	4,864,667,471
Total Assets	339,315,508	32,365,087,065	891,261,022	148,924,778	9,934,356,062	9,229,734,357	4,080,724,535	1,467,654,318	1,756,771,358	4,385,300,822	5,489,109,998	70,088,239,823
Liabilities												
Long term Liabilities												
Long Term Loans	0	0	0	0	0	0	0	0	33,594,925	813,360	0	34,408,285
Deferred Taxation	68,740	236,087,746	0	0	118,047,026	335,426,935	170,544,831	0	6,748,106	33,820,806	0	900,744,191
Future Policyholder Funds	254,420	0	0	0	0	3,884,495,193	0	0	225,812,415	0	0	4,110,562,028
Current Liabilities												
Outstanding Claims	36,000	30,684,600	11,222,561	722,441	0	0	14,400,747	7,314,168	0	47,144,757	0	111,525,273
IBNR	1,880,854	296,979,424	0	775,946	0	0	0	102,702,349	0	0	0	402,338,573
Paid up policies	0	0	0	0	0	212,895,556	0	0	0	0	0	212,895,556
Investment contract liabilities	102,211	3,844,955,730	43,769,600	18,493,871	1,740,656,272	0	0	0	0	0	622,866,913	6,270,844,596
Insurance contract liabilities	62,250	2,003,145,100	0	0	5,614,936,517	0	0	10,469,411	0	160,626,933	3,317,390,392	11,106,630,403
Life Fund	0	0	160,184,986	0	48,747,170	0	2,291,498,821	0	0	3,193,259,181	0	5,693,690,156
UPR	705,073	55,570,063	790,022	174,886	0	0	0	53,874,590	0	20,285,763	0	131,400,396
Reinsurance creditors	0	0	0	387,042	0	0	1,574,386	2,603,921	0	0	0	4,565,349
Other current Liabilities												
Other Liabilities1	2,003,537	338,465,388	0	7,544,129	30,469,073	1,359,305,304	127,159,637	87,447,463	19,136,752	23,981,226	2,827,833	1,998,340,341
Other Liabilities2	0	15,660,344	162,508,815	9,281,063	27,771,636	0	10,124,119	150,469,847	1,913,341	251,980,196	14,115,848	643,825,208
Other Liabilities3	0	125,807,300	0	0	61,483,532	0	0	7,918,024	0	2,680,076	226,085,461	423,974,393
Other Liabilities4	0	22,023,502	0	0	9,826,200	0	0	348,709	0	0	1,385,987	33,584,399
Other Liabilities5	0	54,067,719	0	0	100,755,335	0	0	8,612,257	0	0	0	163,435,310
Other Liabilities6	0	496,064,944	0	0	1,675,490	0	0	1,156,203	0	0	0	498,896,637
Total Liabilities	5,113,084	7,475,464,855	378,475,983	37,379,378	7,754,368,250	5,792,122,988	2,615,302,541	432,916,941	248,932,035	3,734,592,297	4,184,672,433	32,659,340,786
SHARE CAPITAL AND RESERVES												
Share Capital	38	131,844	2	20,000	7,308	400,000	231,908	100	1,000,000	200,000	1,092,059	3,083,258
Share Premium	2,435,318	29,990,000	1,388,012	4,602,425	41,379,892	0	4,431,623	5,685,251	0	450,000	671,409	91,033,930
Investment Reserve	0	0	0	0	2,014,048	0	9,217,529	0	0	0	0	11,231,577
Revaluation Reserve	305,278,239	0	98,905,300	0	0	4,192,334,377	66,753,258	116,917,380	3,701,303	15,186	298,304,300	5,082,209,343
Non Distributable Reserve	0	33,764,276	0	0	0	175,935,419	0	0	0	2,463,511	0	212,163,206
Retained Earnings - Prior years	23,413,198	7,587,077,362	238,767,020	104,787,947	0	(1,548,659,948.8	1,184,914,058	516,738,954	991,542,543	501,069,743	902,456,317	12,050,767,142
Retained Earnings - Current year	3,075,630	17,238,658,728	164,184,482	2,135,028	2,136,586,564	617,601,522	199,873,619	395,395,693	511,595,476	146,510,085	0	21,415,616,827
Other1	0	0	2,550,000	0	0	0	0	0	0	0	-10,037	2,539,963
Other2	0	0	6,990,222	0	0	0	0	0	0	0	101,923,517	108,913,739
SHAREHOLDERS EQUITY	334,202,423	24,889,622,210	512,785,039	111,545,400	2,179,987,812	3,437,611,369	1,465,421,994	1,034,737,377	1,507,839,322	650,708,525	1,304,437,565	37,428,899,035
TOTAL EQUITY & LIABILITIES	339,315,508	32,365,087,065	891,261,022	148,924,778	9,934,356,062	9,229,734,357	4,080,724,535	1,467,654,318	1,756,771,357	4,385,300,822	5,489,109,998	70,088,239,822

Annexure 3: Re-assurers' Statement of Comprehensive Income

	First Mutual Reinsurance	FBC Reinsurance	Emeritus Reinsurance	ZEP-RE-Insurance	Totals
Gross Premium Written	24,763,626	71,190,791	253,709,778	46,388,240	396,052,436
Outward Reassurance Premium	2,841,632	28,243,804	50,351,394	0	81,436,831
Net Premium Written	21,921,994	42,946,986	203,358,383	46,388,240	314,615,605
Unearned Premiums	0	0	0	8,013,814	8,013,814
Net Earned Premium	21,921,994	42,946,986	203,358,383	38,374,426	306,601,791
Claims Paid	6,717,479	30,466,777	109,308,782	25,098,797	171,591,835
Claims Outstanding	0	0	0	-4,928	-4,928
Claims Incurred But Not Reported	0	0	0	6,798,095	6,798,095
Change in provision for insurance	0	0	47,609,000	0	47,609,000
Net Claims	6,717,479	30,466,777	156,917,782	31,891,964	225,994,003
Management Expenses	2,275,824	0	25,378,200	895,080	28,549,104
Net Fees and Commission Paid	3,662,865	7,504,880	40,048,848	8,214,650	59,431,243
Underwriting Profit/(Loss)	9,265,826	4,975,329	-18,986,447	-2,627,268	-7,372,560
Fair value adjustments (positive)	192,574,915	37,688,547	0	0	230,263,462
Dividend income	559,653	0	0	0	559,653
Other Income	-184,706	0	1,053,918	0	869,212
Other Income2	0	0	162,807,384	0	162,807,384
Other Income3	0	0	-326,348	0	-326,348
Administrative Expenses	0	1,930,544	0	0	1,930,544
Profit Before Interest and Taxation	202,215,688	40,733,332	144,548,506	-2,627,268	384,870,258
Interest	0	594,346.00	0.00	1,606,749	2,201,095
Earnings Before Tax	202,215,688	41,327,678	144,548,506	-1,020,519	387,071,353
Taxation	0	10,641,877	15,467	0	10,657,344
Earnings After Tax	202,215,688	30,685,801	144,533,039	-1,020,519	376,414,008
Total Comprehensive Profit/(Loss) for the Period	202,215,688	30,685,801	144,533,039	-1,020,519	376,414,008
Total Comprehensive Profit/(Loss) Attributable to Shareholders	202,215,688	30,685,801	144,533,039	-1,020,519	376,414,008

Annexure 4: Statement of Financial Position for Re-assurers

	First Mutual Reinsurance	FBC Reinsurance	Baobab Reinsurance	ZEP_RE-Insurance	Q3 2021 TOTALS
Non-Current Assets					
Property and Equipment	216,740	32,155,781	2,268	0	32,374,789
Investment Property	0	0	475,010,587	0	475,010,587
Investments: Quoted equities	246,992,966	37,688,547	0	0	284,681,513
Bonds	4,933	0	0	30,523,035	30,527,968
Deferred tax asset	0	0	2,902	0	2,902
Deferred acquisition costs	0	82,570,317	0	2,912,479	85,482,796
Other Non-Current Assets1	0	0	12,998,000	0	12,998,000
Other Non-Current Assets2	0	783,807,034	0	0	783,807,034
Other Non-Current Assets3	0	82,926,829	0	0	82,926,829
Total Non-Current Assets	247,214,639	1,129,183,506	488,013,757	33,435,514	1,897,847,417
Current Assets					
Premium Receivable	2,520,831	0	0	0	2,520,831
Money market investments	455,000	5,616,704	0	0	6,071,704
Short term Investments	0	260,724,890	211,209,975	0	471,934,865
Other receivables	3,974,484	59,553	0	12,629,937	16,663,975
Cash and Bank Balances	6,002,877	264,486,936	1,424,193	0	271,914,006
Other Current Assets1	0	0	116,285,491	0	116,285,491
Other Current Assets2	0	349,369,154	0	0	349,369,154
Total Current Assets	12,953,192	880,257,238	328,919,659	12,629,937	1,234,760,027
Total Assets	260,167,832	2,009,440,744	816,933,416	46,065,452	3,132,607,444
Liabilities					
Long (Non-Current) Liabilities					
Deferred Taxation	0	-74,869,980	0	0	-74,869,980
Short (Current) Liabilities					
Outstanding Claims	707,507	0	0	189,264	896,772
Claims Incurred but not Reported	744,055	0	0	10,822,078	11,566,133
Insurance contract liabilities	401,182	0	6,771,747	0	7,172,929
Retrocession Arrangements	0	0	15,509,757	0	15,509,757
Life Fund	0	0	83,553,000	0	83,553,000
Unearned Premium Reserve	0	281,076,940	0	13,956,156	295,033,096
Amounts Due To Reinsurers	1,551,211	0	0	0	1,551,211
Other Short Term Liabilities					
Other Liabilities1	195,530	529,781,708	586,062	0	530,563,300
Other Liabilities2	3,755,236	10,641,877	890,168	0	15,287,281
Other Liabilities3	0	171,819,966	0	0	171,819,966
Other Liabilities6	0	284,301,441	0	0	284,301,441
Total Liabilities	7,354,721	1,277,621,932	107,310,734	24,967,498	1,417,254,887
SHARE CAPITAL AND RESERVES					
Share Capital	700	900,000	487,727	0	1,388,427
Share Premium	2,287,595	42,703,332	6,281,124	0	51,272,051
Revaluation Reserve	0	28,804,550	467,160,791	0	495,965,341
Non Distributable Reserve	0	37,351	0	0	37,351
Retained Earnings - Prior years	48,309,127	5,200,786	91,160,000	22,118,473	166,788,386
Retained Earnings - Current year	202,215,688	25,485,016	144,533,039	-1,020,519	371,213,223
Other1	0	703,557,759	0	0	703,557,759
SHAREHOLDERS EQUITY	252,813,110	806,688,794	709,622,681	21,097,954	1,790,222,539
TOTAL EQUITY & LIABILITIES	260,167,832	2,009,440,746	816,933,416	46,065,452	3,132,607,446